

Super-Subscriptions

ELON MUSK'S TWITTER ACQUISITION HAS RUFFLED A LOT OF FEATHERS THROUGH THE COMPANY. He has gotten rid of the entire Twitter board and all the C-suite execs and taken over as the sole decision maker to make sweeping changes. New features are being discussed and existing features are being revamped. One of the things that's being proposed is charging Twitter verified users an \$8/month fee to keep their blue ticks and get access to new features before everyone else. It's a super-user subscription that many such platforms have. As a fellow blue-tick Twitter account holder, I honestly don't see myself paying for the service because I don't use the platform much. If I had been an ardent user, then I might have considered paying since it does have a lot of useful and convenient features and quality-of-life improvements. With approximately 460,000 verified blue-tick users, Twitter stands to make 3.6 million dollars per month. People consider that to be a significant amount for Twitter, unfortunately, for a company that bleeds 4 million dollars every day, it's nothing but a drop in the ocean. Subscriptions have always been marketed as a win-win concept for the seller as well as the consumer. Consumers get to earmark a small amount on a monthly basis which is much easier to spend than a lump sum annual cost. For sellers, they're getting a guaranteed revenue stream which trickles in every month and at the end of the year, and they make a lot more than a subsidised yearly cost. Take for example the Disney+Hotstar OTT service costs of INR 299/month which translates to INR 3,588/year. The annual subscription cost is INR 1,499/year – less than half of what the monthly subscription would have run up at the end of the year.

While Netflix (200 million) or Spotify (144 million) have the most subscriptions in the world, respectively, both services do not offer annual plans in their biggest markets. Spotify does have annual plans in emerging markets such as India, but once the subscriber base is large enough, expect that to slowly disappear as well. For the average consumer, subscriptions are actually very expensive. The lack of ownership for something you pay for is a big negative straight up. And then there's the hit that your wallet takes. In a recent survey by C+R Research, the average consumer spends \$219 per month on subscription services. That might seem like a huge amount for Americans because they only use a portion of what

they're paying for. About \$133 per month goes towards forgotten subscriptions. That's quite the amount. We haven't had a similar research here in India which is just getting started with subscriptions. Right now, we're paying about INR 416 per month on average. What part of that is for unused subscriptions, might be much less than the Americans considering how the average Indian is more diligent at spotting these spends.

Over time, subscription costs tend to rise due to a multitude of factors but rarely, you might see massive blips. The fallout between Adobe and Pantone has resulted in creative professionals having to spend an additional \$14.99 per month over and above the \$84.99 that they spend every month. One can understand if the additional subscription were for a minor feature that only impacts a few. Unfortunately, in the case of Adobe-Pantone, it affects practically every creative professional. It's because the fallout is over something very basic – colour palettes.

Pantone makes colour swatches which are standardised across design software and the printing hardware that bring the designs to life. Without the additional Pantone subscription, Adobe will replace all Pantone colours with the colour black across all documents that you open. And it doesn't matter when the document was actually created. Essentially, the \$14.99 is a subscription on top of an existing subscription. I didn't find any standard term for it so I'm going with super-subscription to describe this hostage situation. Apparently, Pantone is responsible for this black-replacement move because they wanted to charge the customers directly. And if you're wondering how much Pantone stands to make, then a line straight from the description page of the Pantone Connect plugin that's on Adobe Exchange will make things clear: "Ten million designers the world over rely on Pantone for their colour-critical decisions." Perhaps not all of these 10 million designers are using Adobe software, but let's say there are 10 million Adobe users who rely on Pantone colours. At \$14.99 a pop, that's a cool 1.8 billion dollars every year. Adobe has conveniently passed on the costs of a failed negotiation onto the customers and it's a downright scummy thing to do, but it might be a simple negotiation tactic to elicit a massive outcry. Who knows. All I hope is that these super-subscriptions don't catch on. **d**



"For the average consumer, subscriptions are actually very expensive. The lack of ownership for something you pay for is a big negative straight up."



Let me know your thoughts on this column at:
@mithun_mohandas |
mithun@digit.in